INS-005 · CREDIBILITY PLAN

Answering the track-record question: how a young program earns institutional trust | HGF Management Company | July 2026

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Prepared for Dennis Lanni | HGF Management Company | July 2026

Trigger: Dennis's July 9 email: "we will run into an issue of credibility because we don't have 30 years experience... bringing on a group that everybody's familiar with will buy us some [credibility] so that a City / JPA will want to work with us."

Status: working playbook. Names of specific firms require Dennis's selection; criteria and evidence below.

The reframe

Cities and note purchasers do not need INSITE to be old. They need the **risk-bearing functions** to be old. Credibility in public finance is assembled, not claimed: the statute carries the legal risk, the appraiser carries the valuation risk, bond counsel carries the opinion risk, the county tax roll carries the collection risk, and the administrator's job is orchestration. A program can be young everywhere except where age matters, and the email's instinct (rent familiar names) is exactly how the industry already works.

The five pillars

1. Borrowed tenure. Every seat that a city or purchaser scrutinizes is filled by a name they already know: a recognized special tax consultant drafts the RMA template (INS-003), an established administration firm runs the first levy cycles (INS-004, Phase A), recognized bond counsel signs the opinions, independent MAI appraisers value every deal (INS-101/102), and a retired Sacramento County CFD administrator sits on the advisory bench with a named role. The evidence that this is the norm, not a workaround: the City of San Diego, City of Vacaville, and Union City all route their own CFD administration to NBS; Temecula Valley USD names an outside firm as its CFD Administrator; even ABAG's JPA has consultant-prepared administration reports. If governments with permanent finance staff rent this expertise, a young program renting it looks standard, not weak.

2. A 44-year-old mechanism. INSITE asks no one to trust a new legal idea. The Mello-Roos Act has financed California infrastructure since 1982. The annexation architecture INSITE uses is already operating in Escondido (zone-per-annexation with a one-page Unanimous Approval), Chula Vista (numbered annexations inside improvement areas), and Roseville (a recorded Future Annexation Area with per-annexation tax terms under Section 53339.3(d)). Appraisals follow the state CDIAC framework required by Section 53345.8. The pitch line: the program is new; nothing in it is novel.

3. Policy conservatism as a substitute for tenure. Where the law requires property value of three times the debt, INSITE's policy requires four, mirroring the adopted policy of CSCDA, the state's largest and most experienced conduit issuer. Add per-zone isolation (no project ever carries another's debt), the statutory 10 percent homeowner protection of Section 53321(d), issuer approval gates on every annexation, and a deliberately small pilot. A young program cannot point at decades, so it points at rules stricter than the veterans'.

4. Precedent that young programs win. BOLD did not exist before February 2020. Six years later it has financed roughly $550 million across 65 or more projects supporting more than 12,000 housing units. CSCDA and CMFA were each new once. Program age has not been the barrier in this market; structure and partner quality have been the currency. INSITE's differentiation is segment (2 to 50 lots), not a claim of seniority.

5. Transparency as the brand. The package already practices what most pitches only promise: every factual claim traces to a source URL in the Claims Register, every estimate is labeled a founder estimate, every document carries the pre-launch disclaimer, and the honest limits (not the first program, no purchaser committed, school fees excluded at launch) are volunteered before anyone asks. For an audience trained to discount new-program promises, saying "here is exactly what is proven and what is not" is the most senior behavior in the room.

The talk track

City manager or finance director asks "how long have you been doing this?"

"The program is new. The mechanism is not: Mello-Roos has financed California infrastructure since 1982, and every technical seat on our deals is filled by people your staff already knows, the same special tax and administration firms cities like San Diego and Vacaville use, recognized bond counsel, and independent MAI appraisers. Our policies are stricter than the statute and copied from CSCDA's own. The city approves every annexation, and nothing in the structure depends on our tenure."

Developer asks "why should I trust a brand-new program with my project?"

"You are not trusting us with your project; you are trusting the county tax roll, an independent appraisal showing the land is worth four times the debt, and documents drafted by the same professionals who paper the big districts. Our job is to make that machine fit a ten-lot deal. If we disappear tomorrow, your financing does not change."

Capital partner asks "what's your track record?"

"Zero closed deals, and the structure assumes that. Your security is a recorded lien collected with property taxes, a four-to-one appraised cushion verified by an MAI, per-zone isolation, and a foreclosure remedy. The first note is deliberately small, the documents come from named firms you can diligence, and we will earn the track record one conservative deal at a time. BOLD started from zero in 2020 and is at half a billion; the market rewards structure, not birthdays."

Mapping to the email's three functions

Dennis's function	Status in the package
1. RMA and Program Design Consultant (one-time)	Addressed in INS-003: special tax consultant drafts one issuer-neutral, zone-based RMA template; INSITE owns reuse; bond counsel reviews. Selection criteria below
2. Tax Roll Administrator (ongoing)	Addressed in INS-004: contract an established firm first, with shadow rights, data export, transition assistance, and fixed small-zone pricing; insource on four defined triggers; the retired county administrator is the bridge
3. Program Administration and Operations Consultant	Partially addressed: the manuals, checklists, and procedures are being built now as this document library; the advisor covers county-side practice. Recommendation: defer a paid ops consultant until the pilot exposes the real gaps, then hire against a punch list instead of a blank page

Selection criteria for the two hires (feeds the question batch)

For both the special tax consultant and the tax roll administrator, screen for: (1) name recognition with the target issuer's staff, ask the City of Sacramento and the county which firms they already work with; (2) demonstrated annexation-model CFD work, not just large single-tract districts; (3) willingness to draft issuer-neutral templates with INSITE reuse rights; (4) fixed per-zone pricing for small zones; (5) transition and data-export clauses; (6) named-personnel continuity; (7) errors-and-omissions coverage. The advisory bench needs one page per person: name, role, years, districts touched, permission to be named.

Sources

- Dennis Lanni email, July 9, 2026 (project files): the credibility concern and three-function outline
- Governments contracting CFD administration: https://www.sandiego.gov/finance/debtmanagement/districts/faq ; https://www.cityofvacaville.gov/government/finance/community-facilities-districts ; https://www.unioncityca.gov/DocumentCenter/View/14065/7-Staff-Report---Budget-Study-Session-4---Other-Funds-Budgets-Contd-6-3-25 ; https://specialdistricttransparency.com/wp-content/uploads/2025/01/TVUSD-CFD-2021.1-SB165-Report-FY23.24-Final.pdf ; https://abag.ca.gov/sites/default/files/documents/2026-04/mint_plaza_admin_report_2025_final.pdf
- Annexation-model precedents: Escondido Unanimous Approval form, Chula Vista Annexation No. 11 RMA, Roseville Resolution 18-346 (URLs in INS-003)
- 3:1 statute and CDIAC standards: https://www.treasurer.ca.gov/sites/default/files/cdiac/recmndPracticeR-E.pdf ; CSCDA 4:1 policy: https://cscda.org/wp-content/uploads/2021/01/Further-Amended-and-Restated-CSCDA-Local-Goals-and-Policies-for-use-of-Mello-Roos-CFDs-2019-1.pdf
- BOLD from zero (Feb 2020) to ~$550M / 65+ projects / 12,000+ units: https://www.cmfa-ca.com/bold/ ; https://development.saccounty.gov/us/en/county-engineering/financing-districts-and-impact-fee-programs/bold.html